Day Trading Mastery

Module 5 Study Guide

Building a Trading Plan

This guide covers every lesson of the module, using only words and figures from the lessons themselves. Work through it after watching the lessons, then use the checklist at the end to test yourself.

Lesson 1: Defining Your Strategy and Entry Rules

In this lesson: Master Entry Triggers; Set Invalidation Points; Define Profit Targets; Calculate R

Key points

- Require clear entry rules based on confirmed candle closes @ "clear entry rules based on confirmed candle closes"
- Set strict invalidation points to cap trade risk @ "strict invalidation point to cap your risk"
- Protect TT$ capital with 1% risk limit and proper sizing @ "calculate your position size using a strict 1% risk limit"

Examples from the lesson

- We are kicking off Module 5, "Building a Trading Plan," with Lesson 1: "Defining Your Strategy and Entry Rules."
- Suppose your total trading account sits at TT$20,000, and your golden rule is to never risk more than 1% of your total account on any single trade.
- That means your maximum allowable loss for this setup is capped strictly at TT$200.
- Now, you spot a breakout opportunity on your chart where the entry price is marked at TT$50.00.
- Based on the market structure, your invalidation point and stop-loss level are set at TT$49.00, meaning you are taking a risk of TT$1.00 per share.
- To stay within your TT$200 risk limit, you divide TT$200 by TT$1.00 risk per share, which gives you a maximum position size of exactly 200 shares.
- For your exit criteria, you target the next major resistance level sitting at TT$52.00 per share.
- This target yields a potential reward of TT$2.00 per share, which equals a total profit of TT$400 on your 200 shares.
- By setting these numbers before entering, you ensure a clear 2-to-1 reward-to-risk ratio on your TT$200 risk exposure.
- You know your exact risk of TT$200, your entry at TT$50.00, your invalidation at TT$49.00, and your target at TT$52.00 before you click the buy button.
- When you calculate your position size using a strict 1% risk limit, you protect your TT$ capital and trade with total consistency.

Lesson 2: Creating Your Pre-Market and Post-Market Routines

In this lesson: Pre-Market Preparation; Setting Risk Limits; Systematic Execution; Post-Market

Key points

- Conduct structured pre-market checks and mark key levels @ "structured pre-market check to prepare your watchlist"
- Enforce strict risk limits like a TT$400 daily cap @ "establish strict risk limits like a TT$400 daily cap"
- Perform post-market reviews to track and refine performance @ "conduct a thorough post-market review to log performance"

Examples from the lesson

- We are in Module 5, "Building a Trading Plan", and today we are covering Lesson 2: "Creating Your Pre-Market and Post-Market Routines".
- But having a strategy is only half the battle if you do not have a consistent routine to execute it every single day.
- Your pre-market routine should start at least thirty to forty-five minutes before the market opens.
- Suppose your total trading account balance is TT$20,000, which you might have saved up carefully through your local credit union.
- As part of your morning pre-market checklist, you establish a strict daily maximum risk limit of two percent of your account.
- Two percent of TT$20,000 means your daily risk limit is capped at TT$400.
- You spot an entry signal and decide to risk one percent of your account on this specific execution, which equals TT$200.
- You set your stop-loss order so that if the trade moves against you, you lose exactly TT$200 and not a cent more.
- If that trade hits your stop-loss, you take the TT$200 loss cleanly and step back.
- Because your daily cap is TT$400, you know you can take a maximum of two such losing trades before you are required to shut down your trading platform for the day.
- If you hit your daily TT$400 risk limit early in the session, your pre-market rule kicks in automatically, and you stop trading immediately to protect your capital for the next day.
- When the trading session closes, your work is only half done because the post-market routine begins.
- Your post-market checklist requires three distinct steps: logging the technical trade metrics, reviewing your emotional discipline, and performing a quick capital update.
- If you made TT$300 or lost TT$200, you write it down without judgment.
- A professional day trading routine relies on a structured pre-market check to prepare your watchlist and establish strict risk limits like a TT$400 daily cap on a TT$20,000 account.
- In our next lesson, Lesson 3: Journaling and Measuring Your Performance, we will take your post-market reviews to the next level by building a comprehensive trading journal to

track your win rate, profit factor, and long-term edge.

Lesson 3: Journaling and Measuring Your Performance

In this lesson: Purpose of Trading Journals; Five Core Journaling Inputs; Worked Performance E

Key points

- Log five core trade variables and emotional context systematically
- Calculate Win Rate, Profit Factor, and Average Win-Loss Ratio
- Use documented trade data to refine strategy rules

Examples from the lesson

- I am your instructor, and you are currently in Day Trading Mastery, Module 5: "Building a Trading Plan."
- Today, in Lesson 3, we are mastering "Journaling and Measuring Your Performance."
- To log trades systematically, every entry in your journal must record five core details.
- Over one month of trading, Devin takes a total of twenty trades.
- He ends the month with twelve winning trades and eight losing trades, giving him a solid base of performance data to analyze.
- When we calculate Devin’s total financial performance, his twelve winning trades generate a gross profit of TT$6,000.
- On the flip side, his eight losing trades accumulate a total gross loss of TT$2,400.
- Subtracting his total losses from his total profits leaves Devin with a net profit of TT$3,600 for the month.
- To find your Win Rate, divide your winning trades by your total trades and multiply by one hundred.
- For Devin, twelve wins divided by twenty total trades equals a Win Rate of exactly sixty percent.
- Dividing his TT$6,000 in gross profits by his TT$2,400 in gross losses gives Devin a Profit Factor of 2.5.
- Any Profit Factor above 1.5 indicates a robust trading strategy that yields more than it risks.
- Devin’s Average Win is TT$500, calculated as TT$6,000 divided by twelve wins, while his Average Loss is TT$300, calculated as TT$2,400 divided by eight losses.
- His Win-Loss Ratio is TT$500 to TT$300, or 1.67 to 1, proving his risk management is holding strong.
- If Devin notices his Win Rate dropping below fifty percent during high-volatility news events, he can simply stop trading during those releases.

Recap checklist — can you say each one?

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Lesson 2: Creating Your Pre-Market and Post-Market Routines

☐ Conduct structured pre-market checks and mark key levels @ "structured pre-market check to prepare your watchlist"

☐ Enforce strict risk limits like a TT$400 daily cap @ "establish strict risk limits like a TT$400 daily cap"

☐ Perform post-market reviews to track and refine performance @ "conduct a thorough post-market review to log performance"

Lesson 3: Journaling and Measuring Your Performance

☐ Log five core trade variables and emotional context systematically

☐ Calculate Win Rate, Profit Factor, and Average Win-Loss Ratio

☐ Use documented trade data to refine strategy rules